

modest relative to the hyperscale clusters elsewhere.

Rubal Sahni, AVP, India and emerging markets, Confluent, a data streaming company, says, “India’s strategy is to build context-aware, localised AI rather than replicate giga-models. The current 38,000 GPU baseline is a strong start.”

Rather than chasing a single flagship model, policy-makers and entrepreneurs are betting on something more distributed, more frugal, and more aligned with India’s realities.

AI is projected to add \$1.7 trillion to India’s economy by 2035. But that number will materialise only if AI becomes infrastructure, not just experimentation. Global technology firms, including Microsoft, Amazon and Google, are investing more than \$70 billion in AI infrastructure, skills, and data centres in India. While this will help, the challenge will be to build sovereign capabilities and strategic autonomy.

Surveys by Esya Centre, a New Delhi-based technology policy think tank, show that nearly 90% Indian firms already operate in hybrid or multi-Cloud environments. About 40% workloads are handled by mid-sized or smaller providers, and more than a fifth rely partly on in-house infrastructure. Meghna Bal, director, Esya Centre, says, “There’s considerable appetite for small language models (SLMs) as these are more specific to firms’ domain function and more affordable to build.”

THE STATE STEPS IN

That philosophy underpins the IndiaAI Mission, overseen by the Ministry of Electronics and Information Technology (MeitY). Abhishek Singh, Additional Secretary at MeitY and one of the mission’s architects, describes AI as the next layer of public digital infrastructure, akin to energy or telecom. Under the mission, India has moved from an initial goal of 10,000 subsidised GPUs to more than 38,000, accessible to start-ups, researchers, and public institutions. Platforms such as AI-Kosh (a repository of datasets and AI models) are being positioned to foster AI innovation in India.

“Our approach is democratisation with impact,” says Singh. Sovereign AI capability, he says, is not about isolation but about ensuring that critical capacities—compute, data, talent—are available domestically for start-ups, researchers and public institutions.

India’s data centre footprint, where all the clever AI processing is done, is expanding in parallel. The country now hosts over 130 operational data centres, with dozens more under development, including green clusters such as the upcoming one-gigawatt facility in Mangaluru. Government backbones like the National Infor-



“India is approaching an inflection point where AI will no longer be a frontier technology but a foundational capability for every sector of the economy”

PUNEET CHANDOK
PRESIDENT, MICROSOFT
INDIA AND SOUTH ASIA



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ADDITIONAL SECRETARY, MEITY

matics Centre and MeghRaj Cloud are already serving thousands of departments.

However, much of the hardware needed to build sovereign capability is imported. The balance between building sovereign AI assisted with foreign AI infrastructure that India seeks is what Bal calls “strategic interdependence with a credible domestic fallback.” Over 80% of Indian firms, shows Esya research, face no exclusivity clauses with global Cloud providers. “This market structure allows India to continue using global Cloud and AI infrastructure where efficient, while building sovereign compute capability and foun-